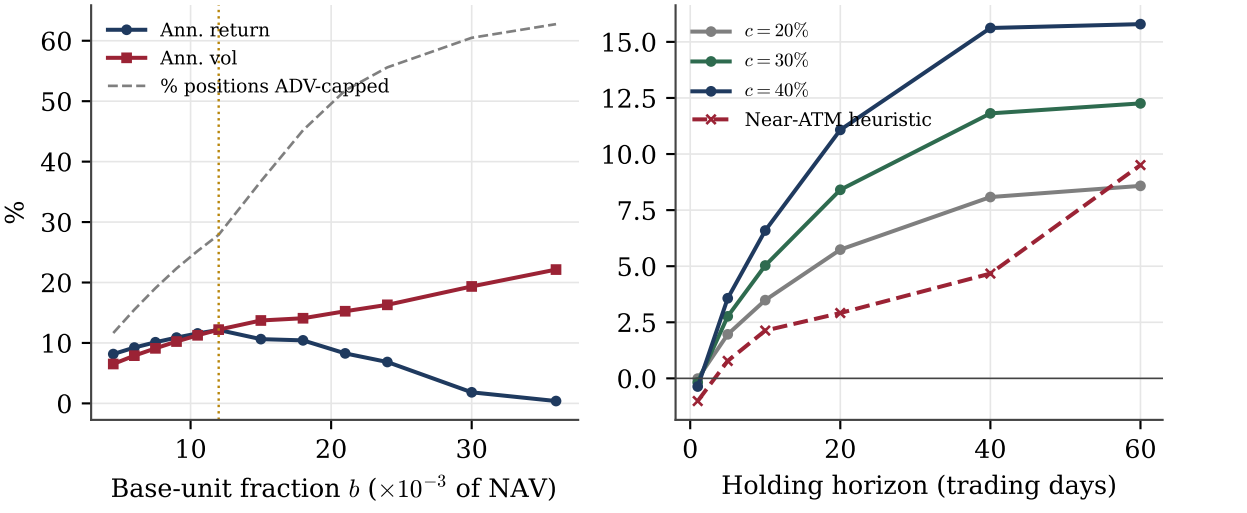
(a) Equity: capacity frontier in b
Ann. return
Ann. vol
% positions ADV-capped
%
60
50
40
30
20
10
0
10
20
30
Base-unit fraction b ($\times 10^{-3}$ of NAV)
(b) Options: return by horizon and budget
$c = 20\%$
$c = 30\%$
$c = 40\%$
Near-ATM heuristic
15.0
12.5
10.0
7.5
5.0
2.5
0.0
0
20
40
60
Holding horizon (trading days)